

Ethics in Management

Ethics in management means following moral principles and doing what is right while making business decisions. Managers are responsible for leading people, handling resources, and solving problems—so it is very important that they make decisions honestly and fairly. Ethical management includes treating employees with respect, being truthful to customers, avoiding corruption, and following laws and company rules.

For example, if a manager sees a chance to make more profit by lying to customers or overworking employees without fair pay, but chooses not to do that because it's wrong—that is ethical management. Good ethics help build trust among employees, customers, and the public. It also creates a healthy workplace culture where people feel safe and valued.

Unethical behavior, like discrimination, cheating, stealing company resources, or abusing power, may give short-term benefits but harms the business in the long run.

What is Meant by Individual Ethics in an Organization?

Individual ethics in an organization refers to the personal moral values, beliefs, and principles that guide an employee's behavior and decision-making at work. These ethics determine how a person treats others, handles responsibilities, and reacts in different situations.

In a workplace, individual ethics influence whether a person is honest, fair, respectful, responsible, and trustworthy. For example, an employee with strong individual ethics will not lie, cheat, steal, or misuse company resources. They will respect rules, meet deadlines, and treat colleagues with fairness and dignity.

Corporate Social Responsibility (CSR)

Corporate Social Responsibility (CSR) refers to a company's responsibility to operate in a way that benefits not only itself but also society and the environment. It goes beyond just making profits and includes being accountable for the company's impact on people and the planet. CSR has four main areas of responsibility: **economic, legal, ethical, and philanthropic**.

The **economic responsibility** is the most basic. It means a business must be profitable to survive, provide jobs, and support economic growth. However, making money should not be the only goal—it should be done fairly and responsibly.

The **legal responsibility** requires companies to follow the law. This includes labor laws, environmental regulations, and tax policies. A business must operate within legal boundaries to ensure that its activities are fair and do not harm people or the environment.

The **ethical responsibility** goes one step further. Even if something is legal, it may not always be ethical. For example, paying very low wages might be legal in some countries but is not

ethical. Ethical responsibility means doing what is morally right, such as being honest in advertising, treating employees fairly, and avoiding harmful products.

Finally, **philanthropic responsibility** means giving back to society. This includes donating to charities, supporting education, helping in disaster relief, or running free training programs for the underprivileged. These actions show that a company cares about the community and is willing to share its success with others.

In short, CSR is about balancing profit-making with being a good citizen in society. Businesses that practice CSR not only improve their reputation but also build stronger relationships with customers, employees, and the public.

Emerging Ethical issue in a business environment:

1. Workplace Discrimination

Workplace discrimination occurs when employees are treated unfairly based on personal characteristics such as gender, race, religion, age, disability, or ethnicity rather than their skills and performance. This kind of behavior is unethical and can create a toxic work environment.

For example, if a qualified female employee is denied a promotion just because of her gender, or a candidate is not hired due to their race or religion, it is considered discrimination. Discrimination can

happen in hiring, salaries, promotions, or even everyday communication.

Businesses have an ethical and legal responsibility to treat all employees equally and to provide a safe, respectful, and inclusive workplace. Promoting diversity and implementing anti-discrimination policies are important steps in addressing this issue.

2. Environmental Concerns

Environmental concerns are related to how an organization's activities impact the natural environment. Many businesses use natural resources (like water, minerals, fossil fuels) and may generate pollution or waste that harms the planet.

Examples of unethical practices include dumping industrial waste into rivers, emitting harmful gases without control, or overusing non-renewable resources. These actions contribute to climate change, environmental degradation, and public health problems.

3. Data Privacy

Data privacy involves protecting the personal and sensitive information of customers, employees, and partners. In today's digital age, companies collect large amounts of data through websites, apps, and software systems.

When this information is misused, shared without consent, or left unsecured, it becomes an ethical issue. For example, leaking customer credit card numbers, selling personal information for profit, or spying on employee activities without permission are serious privacy violations.
